

Solar Tax Equity Investment Opportunity

EDGE Energy × EastWest Bank

Sized to \$50M Annual Tax Appetite

\$31.2M

Total commitment

8.4%

After-tax IRR

\$297M

Total value captured

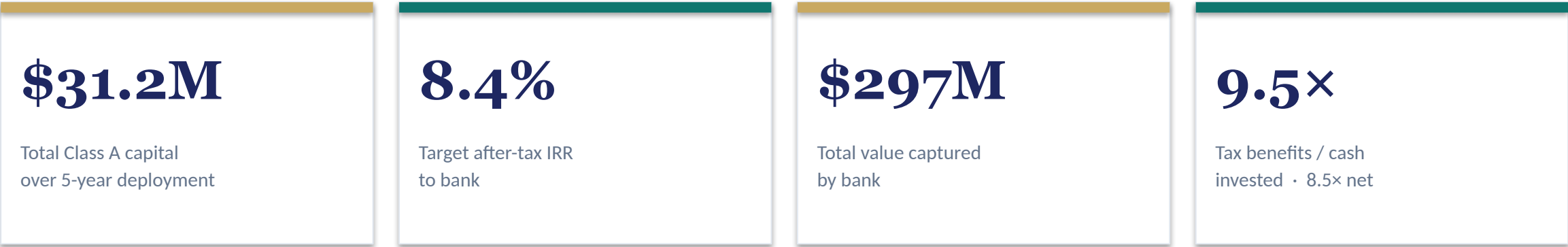
9.5×

Tax-benefit MOIC · 8.5× net

A vintage-laddered Class A position sized to your \$50M/yr tax appetite.

EDGE Energy is deploying \$3.5B of distributed residential solar+storage across ERCOT Texas — 80,000 systems through 2030, fully contracted under 20-year PPAs and Leases. EDGE Energy is offering EastWest Bank the Class A position in a Partnership Flip structure compliant with the IRS Rev. Proc. 2007-65 safe harbor.

Unlike a one-shot §6418 credit purchase, the partnership flip captures three stacked tax benefits — the §48E ITC at face value, 100% bonus depreciation under §168(k) on 5-year MACRS property, and 99% of operating loss allocations — all sized so each year's tax shield matches your \$50M annual appetite.



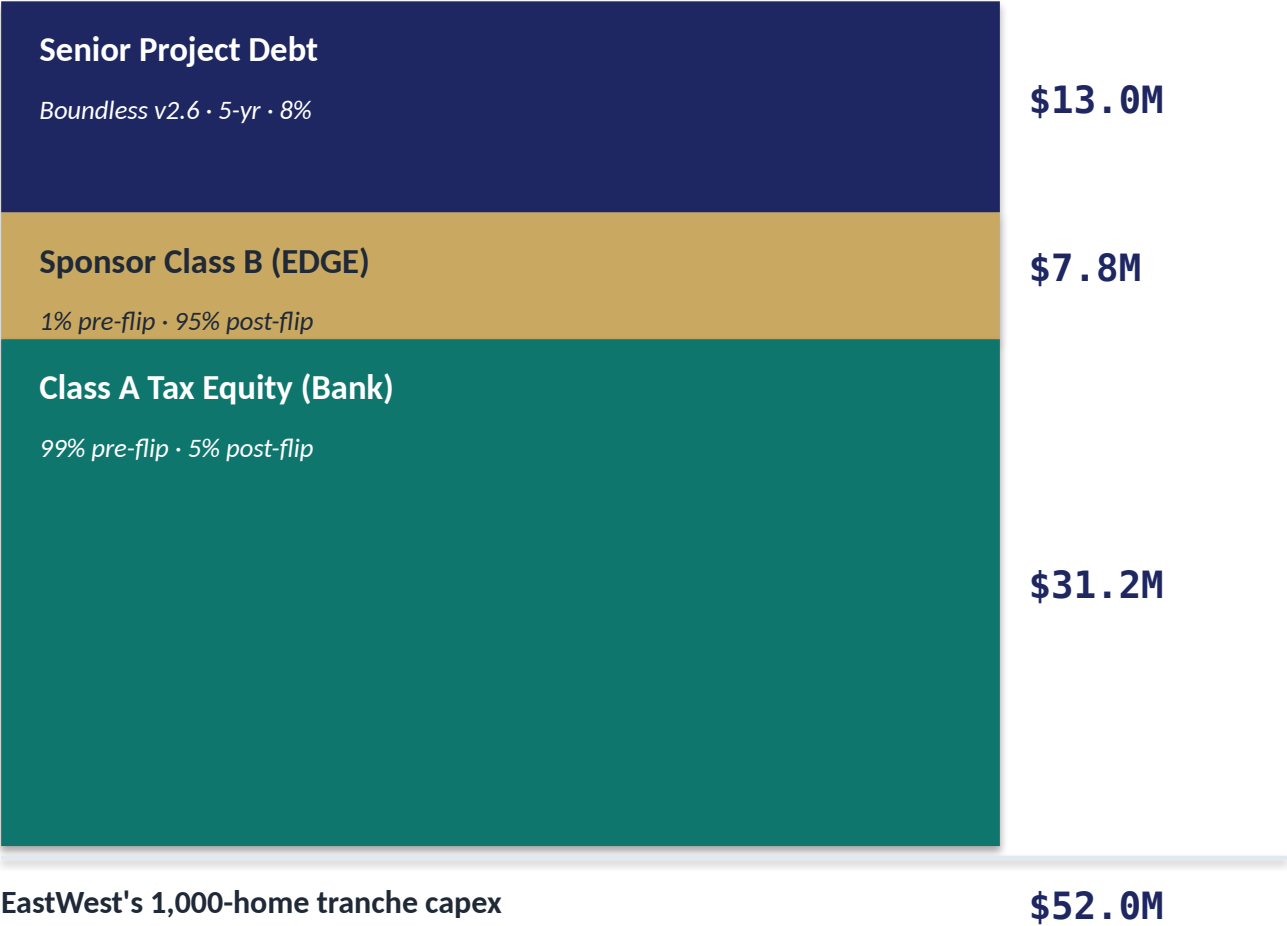
Flip captures ~\$231M more value than §6418 at \$50M/yr appetite

Non-bank credit buyers (Apple, Walmart, Meta) use §6418 — clean one-shot purchase at 86¢/\$ (their 14¢ discount becomes the profit). Banks have a structural advantage via partnership: \$31M cash vs ~\$215M for equivalent §6418 absorption.

PARTNERSHIP FLIP (recommended)		§6418 TRANSFER (alternative)	
\$48E ITC monetization rate	100% face value	\$48E ITC monetization rate	86–90¢ per \$
MACRS bonus depreciation	99% allocated to bank	MACRS bonus depreciation	None — stays with sponsor
Operating loss allocations	99% pre-flip to bank	Operating loss allocations	None
Cash distributions	99% pre-flip to bank	Cash distributions	None — one-time payment
Holding period	5+ yrs (Rev. Proc. 2007-65)	Holding period	No continuing involvement post-purchase
After-tax IRR (base case)	8.4%	Effective return (14¢ discount)	~14% pre-tax
Net profit on \$50M/yr appetite	~\$266M (over 5-yr deployment)	Net profit on \$50M/yr appetite	~\$35M (5-yr × \$7M discount)

Δ Flip captures +\$231M more net profit on ~\$184M less cash deployed (Flip: \$31.2M / §6418: ~\$215M cash outlay)

EastWest Bank as Class A — 60% of project capex, 99% pre-flip allocation.



Class A position summary

Class A capital	60% × \$52M = \$31.2M (5-yr commit)
Pre-flip allocation	99% of all tax + cash items
Post-flip allocation	5% (Rev. Proc. 2007-65 \$4.01 min)
Target after-tax IRR	8.4%
Hold period (minimum)	5 years post-PIS
Flip trigger	Yield-based (after-tax IRR target)
Sponsor purchase option	At fair market value (\$4.08)
Recapture insurance	Aon-issued, 4¢/\$ premium
Voting interest	≤24.9% (BHCA compliance)

Vintage-laddered to match \$50M annual appetite.

Each year EastWest invests \$6.24M in one vintage SPE (200 homes). That vintage generates ≈\$50M of Year-1 tax benefits (Class A's 99% pre-flip allocation; gross per-home values on slide 7) — the precise amount your \$50M annual tax appetite can absorb. Repeated across 5 vintages = \$31.2M total commitment.

VINTAGE 1	VINTAGE 2	VINTAGE 3	VINTAGE 4	VINTAGE 5
Year 1	Year 2	Year 3	Year 4	Year 5
Homes200	Homes200	Homes200	Homes200	Homes200
Invest\$6.24M	Invest\$6.24M	Invest\$6.24M	Invest\$6.24M	Invest\$6.24M
ITC\$37.7M	ITC\$37.7M	ITC\$37.7M	ITC\$37.7M	ITC\$37.7M
Dep shield\$12.5M	Dep shield\$12.5M	Dep shield\$12.5M	Dep shield\$12.5M	Dep shield\$12.5M
Total Y1≈\$50M	Total Y1≈\$50M	Total Y1≈\$50M	Total Y1≈\$50M	Total Y1≈\$50M

5-YEAR PROGRAM TOTALS • CLASS A 99% ALLOCATION	Total value captured
1,000 homes • \$31.2M Class A capital • \$188.5M ITC + \$62.5M dep shield + \$46.0M ops tail = \$297M	\$297M

EastWest's 8-year cash flow — \$31.2M out, \$297M in, \$266M net.

Year	Investment	Inflow	Net Annual	Cumulative Net
Year 1	(\$6.24M)	+\$50.0M ITC+dep	+\$43.8M	+\$43.8M
Year 2	(\$6.24M)	+\$52.0M (V2 + V1 ops)	+\$45.8M	+\$89.6M
Year 3	(\$6.24M)	+\$54.0M (V3 + ops)	+\$47.8M	+\$137.4M
Year 4	(\$6.24M)	+\$56.0M (V4 + ops)	+\$49.8M	+\$187.2M
Year 5	(\$6.24M)	+\$58.0M (V5 + ops)	+\$51.8M	+\$239.0M
Year 6	—	+\$11.0M tail ops	+\$11.0M	+\$250.0M
Year 7	—	+\$9.0M V1 flip + tail	+\$9.0M	+\$259.0M
Year 8	—	+\$7.0M V2-V3 tail	+\$7.0M	+\$266.0M
TOTAL	(\$31.2M)	\$297M total inflows	\$266M	

After-tax IRR (base case)

8.4% · 9.5× gross MOIC · 8.5× net

Sensitivity range: ITC at 38% (PWA fails) / 48% (base) / 58% (+ LMI adder)

5.2% → 8.4% → 9.1%

A \$3.5B distributed solar program with 20-year contracted cash flows.

Program at a glance

- 80,000 systems**
deployed across ERCOT Texas through 2030
- \$3.5B program capex**
delivered through 2030 · EastWest tranche: \$52M (1.5% of program capex)
- 20-year PPA + Lease contracts**
fully executed (delivered May 25, 2026)
- 48% blended ITC rate**
Base 30% + PWA 10pp + Domestic Content 5pp + Energy Community 3pp
- USPAP-MAI cost-seg appraisal**
CPA FMV report completed (interim \$48E basis \$396,127/unit); formal MAI appraisal (Lauren Hill) in progress — expected end Q2 2026
- Boundless v2.6 senior debt**
8% coupon, 5-yr term + warehouse takeout at M60

Per-home economics

\$48E qualified basis	\$396,127
Blended ITC rate	48%
\$48E ITC face per home	\$190,141
\$50(c)(3) basis reduction	(\$95,070)
MACRS depreciable basis	\$301,057
\$168(k) 100% bonus dep (Y1)	\$301,057
Tax shield per home (Y1, 21%)	\$63,222

Direct credit + tax shield captured Year 1 of each vintage.

EDGE Energy — TX-licensed distributed solar developer.

Who we are

EDGE Energy / MicroGRID Energy LLC develops, finances, and operates distributed residential solar+storage projects across ERCOT Texas.

Sponsor principals: Paul Christodoulou (CFO), Mark Bench (CEO), Greg Kelsch (CIO).

Affiliated TX-licensed installer network (TriSMART Solar + others) executes deployment under TDLR §71 + electrical code §1305.

20-year contracts with homeowner counterparties under EDGE Solar Lease v1.4 and EDGE PPA v5.4 (delivered May 25, 2026; 41 + 44 pages respectively).

Diligence package

Ready for review.

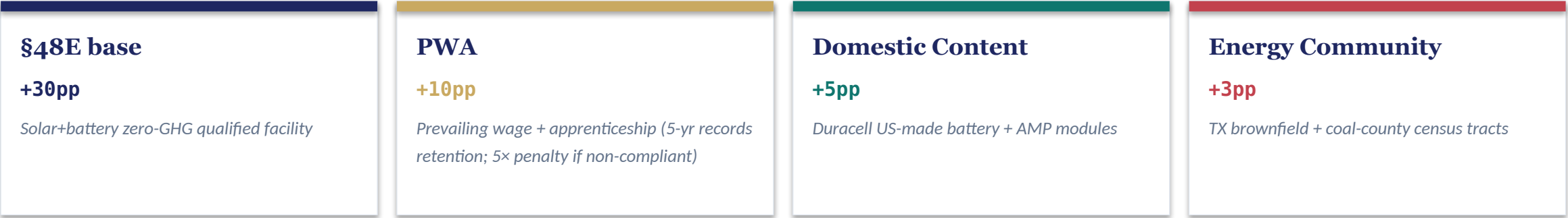
- ✓ Outside tax counsel opinion (pending) — supplemental via Akin Gump / DLA Piper if required
- ✓ USPAP-MAI cost-seg appraisal (Lauren Hill)
- ✓ Recapture insurance term sheet (Aon)
- ✓ PWA compliance plan + records template
- ✓ Domestic Content workbook (Duracell US BoM)
- ✓ Energy Community census tract attestation
- ✓ Delivered Lease v1.4 + PPA v5.4 contracts
- ✓ Financial model v60-40 (audit-converged)

Blended ITC rate stacks to 48% through three adders.



Blended ITC rate: 48%

Theoretical max: 70%



Per-home ITC face: $\$396,127 \times 48\% = \$190,141$ • Program-wide ITC face: $\$190,141 \times 80,000 = \$15.2B$

Pre-flip 99/1 → Post-flip 5/95, per Rev. Proc. 2007-65 safe harbor.

PRE-FLIP (Years 1-5)

Bank captures tax benefits

POST-FLIP (Years 6+)

Sponsor takes over

Tax / Cash Item	Pre-Flip Allocation	Post-Flip Allocation
\$48E ITC (Year 1 of each vintage)	99% Bank / 1% Sponsor	N/A – one-time event
\$168(k) bonus depreciation	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
\$163(j) interest deduction	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Operating revenue (PPA + VPP + REC)	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Sponsor management fee deduction	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Cash distributions	99% Bank / 1% Sponsor	5% Bank · 95% Sponsor
Yield-based flip triggers when Class A reaches 8% after-tax IRR (60-month minimum hold per Rev. Proc. 2007-65 §4.06).		

Eight-point Rev. Proc. 2007-65 compliance — structured for safe-harbor treatment.

Compliance with each of the eight safe-harbor conditions supports IRS respect of the 99/1 → 5/95 split.

§4.01 ✓ Minimum Class A interest <i>99% pre-flip / 5% post-flip</i>	§4.02 ✓ Minimum Class A contribution <i>60% of project capital</i>	§4.03 ✓ No sponsor guarantee <i>Confirmed in op agreement</i>	§4.04 ✓ Single project entity <i>1 SPE per vintage (5 SPEs in EastWest's tranche)</i>
§4.05 ✓ Cash follows tax allocations <i>99/1 → 5/95 both</i>	§4.06 ✓ Minimum 5-year hold <i>60-mo. statutory min.; 72-mo. structural hold</i>	§4.07 ✓ No mandatory put on sponsor <i>Confirmed</i>	§4.08 ✓ Purchase option at FMV <i>FMV-based at exercise</i>

Nine elections at JV's first Form 1065 filing.

Elections govern how tax items flow to Class A. Made at first Form 1065 filing per IRS rules; locked thereafter.

Citation	Election	Status	Purpose
§704(b) QIO	Qualified Income Offset	✓MADE	Satisfies SEE third prong (substantial economic effect test)
§704(c)	Remedial method	✓MADE	Class A captures full book-equivalent depreciation
§168(k)	100% bonus depreciation	✓MADE	Front-loads MACRS into pre-flip Year 1 (no opt-out)
§50(c)(3)(A)	ITC basis reduction	MANDATORY	Depreciable basis reduced by 50% of credit claimed
§263A(f)	Capitalized interest into basis	✓MADE	\$7,608/unit basis lift (cap'd construction-period interest)
§168(i)(4)	General Asset Account	✓MADE	Simplifies partial disposition rules
§163(j)(7)(A)	Real property trade/business	NOT ELECTED	Preserves full interest deduction at JV level
§6418	Transferability	NOT ELECTED	Credit stays at partnership for §704(b) allocation
§754 + §743(b)	Basis adjustment	✓MADE	Basis step-up on Class A buy-in

Five-layer protection stack — insurance, indemnity, opinion, structure.

\$48E ITC recapture (5-yr period)

Aon-issued recapture insurance policy, A-rated (AM Best) carrier, 4¢/\$ premium (~\$7.5M on \$188M gross ITC face (99% allocated to Class A) across 5 vintages). First-loss before sponsor indemnity. Covers all §50(a) and §6418(g)(3) recapture events.

INSURED

PWA compliance failure (5× penalty)

Sponsor PWA covenant + uncapped indemnity for breach. Prevailing wage records retained 5 years. Apprenticeship documentation per §45(b)(7). Verified through third-party labor audit.

INDEMNIFIED

FEOC compliance failure

Sponsor warrants no Foreign Entity of Concern at placed-in-service. Engine FEOC gate at PIS zeros the credit if non-compliant per §45X(c)(7). Sponsor indemnifies for any breach.

WARRANTED

§704(b) SEE reallocation by IRS

Outside tax counsel opinion pending on §704(b) Qualified Income Offset + Rev. Proc. 2007-65 safe-harbor compliance. Opinion to be finalized upon structure agreement with EastWest Bank; supplemental opinion available from Akin Gump or DLA Piper if required. Sponsor 5-7 yr tax indemnity tail.

OPINED

Sponsor operational default

Class A step-in rights on covenant defaults. Class A consent rights on material amendments, asset sales, additional debt. Sponsor 5-yr tax indemnity tail.

STRUCTURED

Six-month path from diligence kickoff to first vintage in service.



What we need from EastWest Bank

- (1) Initial diligence go/no-go within 2 weeks (2) Confirm structure preference (vintage-laddered vs lump-sum) (3) Tax counsel introduction for outside opinion coordination (4) Confirmation of insurance carrier — Aon / Marsh / WTW (rate · capacity · A-rating)

RECOMMENDED ACTION

Commit \$31.2M to Class A.

Capture 8.4% after-tax IRR.

\$297M of total value captured over 8 years

vs. \$31.2M cash invested + operating shields

Vintage-laddered to match \$50M/yr appetite

exactly — no carry-forward erosion

Rev. Proc. 2007-65 safe harbor compliant

Structured to satisfy each of the eight safe-harbor conditions

Direct enquiries

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